

1) Explain productivity, scheduling and Routing

PRODUCTIVITY :

- * Productivity is defined as the ratio of output to input in a production or business system.
- * It is also known as economic efficiency.
- * It measures how efficiently resources such as labour, capital, and materials are used to produce goods and services.

Methods to improve productivity :

- * Increasing output with the same level of input.
- * Reducing input while maintaining the same output.
- * Increasing output more than the reduction in output.
- * Simultaneously increasing output and decreasing input.

Importance of productivity :

- * Reduces cost of production
- * Increases profit of the firm
- * Improves standard of living
- * Enhances competitiveness in the market
- * Ensures optimum utilization of resources.

SCHEDULING :

- * Scheduling refers to the process of deciding the time and sequence of operations in production.
- * It ensures that each activity is completed within a specified time.

Objectives of scheduling:

- * proper utilization of machines and labour
- * Avoidance of delays and idle time
- * Ensuring timely completion of work
- * smooth flow of production process.

Types of scheduling:

- * short term scheduling: daily or weekly planning
- * long term scheduling: planning for future production.

ROUTING:

* Routing is the process of determining the path or sequence of operations through which a product will pass during production.

Functions of Routing:

- * Fixing the route of production
- * selecting appropriate machines and tools
- * Deciding the sequence of operations
- * ensuring smooth workflow

Importance of Routing:

- * Reduces production delays
- * Minimizes cost and wastage
- * Improves efficiency
- * Ensures proper coordination

* Productivity, scheduling and Routing are essential elements of production Management that helps in achieving efficiency and timely production.

2) Explain Advertising and Sales Forecasting.

ADVERTISING:

- * Advertising is a paid form of non-personal communication used by firms to promote their goods and services to a large number of people.
- * It plays a vital role in modern business by influencing consumer behaviour and increasing demand.

Features of Advertising:

- * It is a paid activity
- * It is non-personal communication
- * It is done through mass media
- * It aims at persuading customers
- * It is a part of selling cost.

Objectives of Advertising:

- * To introduce new products in the market
- * To increase sales and market share
- * To create brand awareness and recognition
- * To educate consumers about product usage
- * To face competition effectively
- * To maintain demand for existing products.

Functions of Advertising:

- * Information: Provides details about product feature
- * Persuasion: Encourages customers to buy.
- * Reminder: Keeps the product in customer's mind
- * Brand Building: Creates goodwill and loyalty

Advantages:

- * Expands market coverage
- * Increases sales and profit

- * Helps in large scale production
- * creates employment opportunities.

Disadvantages:

- * Increases cost of product
- * can mislead consumer
- * creates unnecessary wants
- * Leads to wastage of Resources.

SALES FORECASTING :-

- * Sales forecasting is the process of estimating future sales based on past data and market analysis.
- * It helps firms plan production, finance and marketing strategies.

Importance of Sales Forecasting:

- * Helps in production planning
- * Reduces uncertainty and risk
- * Helps in budget preparation
- * Assists in manpower planning
- * Supports decision-making

Factors affecting sales Forecasting :

- * Market demand
- * Consumer income
- * Price of product
- * competition
- * Advertising efforts
- * Government policies.

Methods:

1) Qualitative methods: Based on opinions and experience.

Ex: Expert opinion, market survey.

2) Quantitative Methods: Based on Statistical Data

* EX: Trend analysis, Regression.

Steps in Sales Forecasting.

- 1) Define objective
- 2) Select method
- 3) Identify variables affecting demand
- 4) collect past data
- 5) analyze data
- 6) Prepare forecast.

Limitations

- * May be inaccurate
- * Affected by sudden market changes

3) Define Market and its classification

MARKET:

* A Market is a system or place where buyers and sellers interact to exchange goods and services at a mutually agreed price.

* It may be physical or virtual

characteristics of Market:

- * Presence of buyers and sellers
- * Interaction between demand and supply
- * price determination mechanism
- * Freedom to buy and sell.
- * Transfer of ownership.

Functions

- * price determination
- * Distribution of goods
- * providing information to buyers and sellers
- * Facilitating trade and exchange

classification :

1) Based on competition

* perfect competition

- * Large no of buyers and sellers
- * Homogenous products
- * Free entry and exists
- * perfect knowledge
- * uniform price.

* Monopoly:

- * only 1 seller
- * No close substitutes
- * Full control over price
- * High entry barriers

* oligopoly

- * Few firms dominates the market
- * Intdependence among firms
- * Products may be identical or differentiated

2) Based on Nature of Goods :

* consumer goods market : Goods for final consumption (eg: clothes)

* producer goods market : goods used for production (eg: machinery)

3) Based on Area :

* Local Market : Limited to a small area

* National market : covers entire country

* International Market : Global level trade

4) Based on Time :

* very short period market : supply in Fixed.

- * short period market : Limited adjustment possible
- * long period market : Full Adjustment of supply.

5) Based on Regulation :

- * Regulated Market : controlled by government
- * unregulated market : Free market.

Importance :

- * Helps in understanding different market structure
- * Assists firms in pricing decisions
- * Helps in analysing competition
- * Useful for business strategy.